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Shenzhen Inovance Technology Co. Ltd - A

2026 CIIF tour takeaways and expert feedback drive further model cut; non-consensus cautious view maintained

Neutral

300124.SZ, 300124 CH
Price (21 Oct 26):Rmb49.90

▼ **Price Target (Dec-27):Rmb51.00**
Prior (Dec-27):Rmb55.00

We follow up on our Neutral call with a further model cut and a more balanced risk/reward view after recent industry checks, investor conversations, and takeaways from the 2026 CIIF (China International Industrial Fair) expert meeting. Inovance remains the best-in-class player in China's FA (Factory Automation) space, in our view, with a long-term record of execution, product innovation and market share gains. Most investors have agreed with our more cautious stance since late September, citing repeated profit delivery underperformance, the halt in monthly IA (Industrial Automation) order disclosures, and persistent new energy vehicle sector headwinds as key concerns. Our CIIF expert meeting reinforced this caution, highlighting a sharp slowdown in FA momentum since 3Q26, with lithium battery, EV and automotive demand weakening and channel inventory digestion weighing on orders. While Inovance's quality and leadership are still respected, the market is waiting for clear evidence of a rebound in both earnings delivery and disclosure before re-engaging more positively. We cut our profit forecast by 4%/6%/8% for FY26/27/28, bringing our numbers to c.10% below consensus. Our DCF-based Dec-27 PT is lowered to Rmb51. The stock currently trades at a c.20x P/E on FY27E, which looks fair to us vs. the 16% CAGR we project for the forecast period, and is comparable to other FA plays such as AirTAC (21x) and Yaskawa (19x) for the same year. We maintain our Neutral rating, as we believe a step back is warranted until we see a clear reacceleration in earnings growth and improved disclosure practices.

- **The latest read-through from our IA expert at CIIF points to a more cautious near-term outlook for China's FA cycle, with momentum slowing sharply since 3Q26.** The expert highlighted that lithium battery, EV and automotive large-line demand have weakened, and channel inventory digestion after 1H price hikes has weighed on orders. While Inovance remains the strongest domestic automation leader and should still grow, its growth rate has slowed materially vs. 1H26. New verticals like data center, edge intelligence and industrial AI are directionally positive, but still need time to scale and are unlikely to fully offset the legacy FA slowdown in the near term. The expert also noted that the current upcycle is pricing-led, rather than volume-led, and that another round of price hikes may support 4Q demand, but underlying demand remains soft.
- **Investor feedback and sector context remain cautious, with little optimism for near-term catalysts and ongoing concerns about information gaps and overseas execution.** Most investors agree that confidence has been eroded by repeated profit delivery underperformance, the halt in monthly IA order disclosures, and persistent headwinds in the New Energy business. The most common question is whether there are hidden positive catalysts after the

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	2.05	1.97	-4.0%
Adj. EPS - 27E (Rmb)	2.57	2.43	-5.6%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	73	81	87	89	89
Growth	36	21	19	20	31
Momentum	71	61	32	39	24
Quality	25	18	18	17	27
Low Vol	44	45	63	27	75
ESGQ	3	1	1	1	18

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 10 for analyst certification and important disclosures, including non-US analyst disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	-33.8%	-5.6%	-18.9%	-37.2%
Rel	-27.3%	0.4%	-15.0%	-32.0%

Company Data

Shares O/S (mn)	2,707
52-week range (Rmb)	84.05-48.50
Market cap ($ mn)	20,230
Exchange rate	6.68
Free float (%)	61.1%
3M ADV (mn)	26.13
3M ADV ($ mn)	224.8
Volatility (90 Day)	38
Index	SHASHR
BBG ANR (Buy | Hold | Sell)	34|3|0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	45,105	52,834	56,881	61,874
Adj. EBITDA	6,633	7,586	8,411	9,975
Adj. EBIT	5,517	6,131	7,250	8,654
Adj. net income	5,050	5,334	6,575	7,862
Adj. EPS	1.87	1.97	2.43	2.90
BBG EPS	2.03	2.18	2.69	3.22
Cashflow from operations	6,681	6,883	7,449	8,636
FCFF	3,649	3,159	4,927	5,972
Margins and Growth				
Revenue Growth Y/Y (%)	21.8%	17.1%	7.7%	8.8%
EBITDA margin	14.7%	14.4%	14.8%	16.1%
EBITDA Growth Y/Y (%)	22.5%	14.4%	10.9%	18.6%
EBIT margin	12.2%	11.6%	12.7%	14.0%
Net margin	11.2%	10.1%	11.6%	12.7%
Adj. EPS growth	17.2%	5.4%	23.3%	19.6%
Ratios				
Adj. tax rate	4.8%	9.0%	10.0%	11.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	14.8%	13.6%	14.6%	15.5%
ROE	15.9%	14.3%	15.7%	16.5%
Valuation				
FCFF yield	2.7%	2.3%	3.6%	4.4%
Dividend yield	0.8%	1.1%	1.3%	1.6%
EV/Revenue	3.1	2.6	2.4	2.2
EV/EBITDA	20.8	18.2	16.4	13.9
Adj. P/E	26.7	25.3	20.5	17.2

Summary Investment Thesis and Valuation

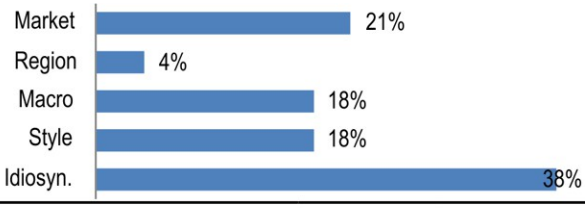
Investment Thesis

We are Neutral on Shenzhen Inovance. While Inovance remains a high-quality company with a strong record in execution, product innovation and market share gains, we see a more balanced risk/reward following a series of earnings fluctuations, particularly in New Energy. Despite robust FA demand and earlier IA order strength, four consecutive quarters of underperforming earnings delivery and the pause in monthly IA order disclosures have eroded confidence.

Valuation

Our DCF-based Dec-27 PT of Rmb51 is based on terminal growth of 0% and a WACC of 8.8%, calculated based on the following assumptions: cost of equity at 9.3% (based on Rf = 2.5% [aligned with the latest China 10-year bond yield], an equity risk premium of 6.8% and a beta of 1.0x), cost of debt at ~4% and a target debt-to-capital of 10%. Our PT translates into a target PEG of 1.1x (vs. 0.9x previously) against our earnings growth projection of 23% for FY27 (vs. 25% previously).

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.43	0.46
Region: China	0.19	0.23
Macro:		
US 10 Year Yield	0.51	0.38
Emerging Economies CPI(YoY)	0.34	0.26
JP Morgan GBI-EM Global Div	-0.28	-0.26
Quant Styles:		
Size	-0.38	-0.28
Value	-0.05	-0.21
DivYld	-0.04	-0.21

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

stock's sharp YTD underperformance. Our answer remains cautious: We see limited major positive catalysts ahead, as growth angles like humanoid robotics, AIDC-related demand and overseas expansion are too small, too early-stage or not visible enough to drive a near-term group-level earnings inflection. Overseas expansion remains in the upfront investment phase, with particular challenges in Europe, and the halt in monthly IA order reporting since August removes a key datapoint for tracking demand momentum.

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Model cut and further caution after recent checks; Neutral maintained, PT to Rmb51

Investor feedback since 22 September has been constructive and generally supportive of our near-term caution, but it is clear that Inovance remains highly respected as the best-in-class player in China's FA space. Most investors recognize Inovance's outstanding long-term track record in execution, product innovation and market share gains, and continue to view the company as a structural winner in the sector. The most common questions have focused on whether the recent share price weakness presents a contrarian opportunity, or if there are hidden positive catalysts that could drive a near-term turnaround. Our conversations suggest that, while confidence in the company's quality and leadership remains strong, the market is waiting for clear evidence of a rebound in both earnings delivery and disclosure before re-engaging more positively.

We follow up with a further model cut on Inovance, reflecting a more balanced risk/reward after recent industry checks and company updates. Inovance's competitive strength and execution remain best-in-class, in our view, but the latest data from our 2026 CIIF tour and industry contacts point to a fast-cooling FA cycle in China, with demand softening sharply in auto and battery sectors since 3Q26. The New Energy segment continues to face significant pressure, with auto demand cooling rapidly, VAT rebate adjustments, and export restrictions impacting auto OEMs—i.e., Inovance's customers. In the IA segment, the 3Q26 order print came in at ~20% Y/Y growth, confirming a notable slowdown from August compared to 30%+ for July and 30-40% in 1H26. While we appreciate Inovance's move to quarterly order disclosure, the halt in monthly reporting since August and the weaker order trend reinforce our more cautious stance for now.

We cut our profit forecast by 4%/6%/8% for FY26/27/28, bringing our numbers to c.10% below consensus. We see downside risk to our reduced forecasts, given the ongoing challenges in New Energy and the clear deceleration in IA. With four consecutive quarters of earnings misses, rising competition, and macro headwinds slowing demand, we expect expectations to reset further, which will likely weigh on share price performance. Our DCF-based Dec-27 PT is lowered to Rmb51 (from Rmb55). The stock currently trades at a c.20x P/E on FY27E, which looks fair to us vs. the 16% CAGR we project for the forecast period and is comparable to other FA plays such as AirTAC (21x) and Yaskawa (19x) for the same year. We maintain our Neutral rating, as we believe a step back is warranted until we see a clear reacceleration in earnings growth and improved disclosure practices.

Key takeaways from IA expert meeting at 2026 CIIF: FA momentum slowing, pricing-led upcycle unsustainable

The key read-through from our IA expert at CIIF is more cautious near-term. The expert sees China FA demand slowing notably from 3Q26, with lithium battery, EV and automotive large-line demand weakening, and channel inventory digestion after 1H price hikes weighing on orders. Inovance remains the strongest domestic automation leader and should still grow, but its growth rate has slowed materially vs.1H26. New verticals like data center, edge intelligence and industrial AI are directionally positive, but still need time to scale and are unlikely to fully offset legacy FA slowdown in the near term. The expert also noted that Inovance is concretely working on industrial AI

applications, but monetization remains difficult and more likely to serve as a medium-term moat than a near-term profit driver.

The China IA demand upcycle is intact, but growth is pricing-led, rather than volume-led. The expert estimates that 1H26 China total IA market value grew c.4% Y/Y, with FA up c.8% Y/Y and PA (Process Automation) down c.1-2% Y/Y. At least 2ppts of the c.4% growth came from price increases, while underlying demand improved only slightly. Supplier-side order growth was stronger, at over 10% in 1H26, due mainly to pricing and channel restocking, but slowed to single-digit growth in 3Q26 as inventory was digested.

FA growth is slowing in 3Q26, while the PA decline is narrowing. The expert believes FA market growth started to decelerate in 3Q26, especially after strength in lithium battery, automotive lines and some export-related equipment earlier in the year. PA-related sectors such as petrochemical and steel/cement are seeing narrower declines, while power, municipal infrastructure and new materials chemicals are performing better. This mix shift could continue into 2027, with FA growth slowing and PA turning from negative to slightly positive.

Another round of price hikes may support 4Q demand and reported growth. Automation vendors raised prices in 1H26, but the price transmission to end users was incomplete. Although official price hikes were announced in the 5-20% range, the actual user-end price increase was only c.2-3%. As bargaining between vendors, channels and users has not fully settled, the expert expects another round of price increases in 2H26. Schneider, Siemens, Inovance and Danfoss have announced or are planning price hikes, which could drive another round of channel stocking in 4Q.

Eighth employee incentive scheme: Exclusion of New Energy (EV business) from KPIs and lower profit growth targets reinforce our cautious view

Inovance's eighth employee incentive scheme, announced on 20 September, is directionally positive for talent retention and alignment, but we do not see it as a major positive catalyst that changes our cautious view. The most notable change in this round is the explicit removal of the New Energy (i.e., EV business) from the profit KPI targets, signaling management's intent to focus incentives on the core IA business and to shield employees from the volatility and dilution of the NEV segment. The plan covers up to 53.7MM shares (1.98% of total share capital), with the initial grant including both restricted shares and share options, and extends to overseas core personnel in Europe, Korea, India and Southeast Asia—consistent with the company's push to build out its international sales network and local execution capability.

The targeted profit growth for the IA & Elevator segment under the new incentive plan is in the high teens for the forecast period—specifically, 16%, 19% and 22% for FY27, FY28 and FY29, respectively. This is meaningfully lower than the c.20-25% earnings CAGR that Street analysts are projecting for the reported period. The KPI target appears achievable, rather than demanding, and does not signal upside risk to our numbers. While the plan may help stabilize management incentives and align employees with ex-NEV profit delivery, it does not resolve the key investor question: whether overseas expansion or new growth drivers can scale fast enough to become meaningful at the group level.

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Investor feedback and sector context: Limited pushback, but little optimism for near-term catalyst

Investor feedback post-downgrade has shown essentially no strong pushback on our core thesis. Most investors agree that confidence has been eroded by repeated profit delivery underperformance, the halt in monthly IA order disclosures, and persistent headwinds in the New Energy business. The most common question is whether there are hidden positive catalysts after the stock's sharp YTD underperformance. Our answer remains cautious: We see limited major positive catalysts ahead, as growth angles like humanoid robotics, AIDC-related demand and overseas expansion are too small, too early-stage or not visible enough to drive a near-term group-level earnings inflection. In robotics, Inovance is making progress with small-batch motor sales and arm validation, but revenue contribution remains small and unlikely to drive a re-rating, in our view, especially with industry headwinds and tightening regulation.

Overseas expansion is the main potential catalyst investors are double-checking, but progress has been slower than expected. The company's long-term target of overseas sales reaching 20-30% of revenue still lacks clear visibility. Inovance remains in an upfront investment phase, building out sales networks, capacity and customer qualification, but this is particularly difficult in Europe, where the automation market is mature and local incumbents like Siemens have entrenched relationships and product ecosystems. Our industry contacts and the MIR databank suggest there are strategy and execution issues in Europe for Inovance's IA expansion, and the company is recalibrating its approach. We think M&A may ultimately be needed to accelerate channel penetration, but Inovance has kept a disciplined approach to M&A so far.

The halt in monthly IA order reporting since August removes a high-frequency datapoint investors used to track Inovance's industrial demand cycle. This matters because order growth had already moderated from the 30-40% Y/Y pace seen in the first seven months of 2026, with the slowdown linked mainly to softer PA demand in oil & gas, chemical engineering and metallurgy. With PA representing c.10-20% of IA, a sharp PA decline could weigh on total IA order growth by several ppts, while the high base effect may persist through year-end.

Table 1: Inovance – New KPIs vs. JPMe and Bloomberg consensus

in Rmb B	FY26E	FY27E	FY28E	FY29E	FY26-28E CAGR
net profit adjusted for Inovance Automotive's earnings impact	4.9	5.7	6.8	8.3	18%
Y/Y		16%	19%	22%	
JPMe headline profit	5.3	6.6	7.9	9.1	21%
Y/Y		23%	20%	15%	
% below JPMe estimate or Implied Inovance Automotive profit contribution	8%	13%	14%	9%	
Bloomberg consensus headline profit	5.9	7.3	8.7	NM	22%
Y/Y		24%	20%	NM	
% below Bbg consensus estimate or Implied Inovance Automotive profit contribution	17%	22%	22%		

Source: Company data, J.P. Morgan estimates, Bloomberg Finance L.P.

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Table 2: Industrial Automation comp table

	BBG Ticker	JPM rating	Last Price LC	JPM PT LC	Upside/ Downside	Mkt Cap US$Mn	Daily turnover US$Mn	YTD Stock perf.	P/E (x) FY26E	P/E (x) FY27E	EPS growth Y/Y FY26E	EPS growth Y/Y FY27E	PEG(x) FY26E	ROE (%) FY26E	ROE (%) FY27E	P/S (x) FY26E	P/S (x) FY27E	Revenue growth Y/Y FY26E	Revenue growth Y/Y FY27E
China/HK automation																			
Inovance	300124 CH	N	51	51	0%	20,616	223.0	-33%	26	21	5%	23%	5.2	14.3	15.7	3	2	17%	8%
Estun	002747 CH	UW	26	21	-20%	3,588	240.8	-1%	97	75	NM	30%	NA	9.7	9.4	5	4	13%	7%
OPT	688686 CH	NC	121	NA	NA	2,224	33.3	-12%	60	42	32%	43%	1.9	7.9	10.0	9	7	33%	29%
Yiheda	301029 CH	N	24	24	0%	2,263	30.7	-30%	25	21	19%	21%	1.3	13.6	15.5	4	4	25%	17%
Hongfa	600885 CH	OW	29	46	57%	6,802	73.8	-33%	20	16	19%	10%	1.1	16.2	18.0	2	2	34%	18%
Leader Drive	688017 CH	OW	268	358	33%	7,365	352.1	-40%	272	139	488%	96%	5.9	9.6	12.9	56	30	58%	87%
Sanhua-A	002050 CH	OW	33	51	54%	19,845	284.9	-40%	32	26	-1%	25%	NM	12.8	14.6	4	3	5%	13%
Sanhua-H	2050 HK	OW	23	38	65%	19,845	20.8	-40%	19	15	-1%	25%	NM	12.8	14.6	NA	NA	5%	13%
Jiangsu Hengli	601100 CH	OW	84	126	50%	16,823	105.1	-34%	36	27	16%	32%	2.3	17.3	20.2	8	7	26%	22%
HCFA	002979 CH	NC	51	NA	NA	2,424	92.0	-28%	43	32	66%	35%	0.6	NA	NA	6	5	35%	34%
SUPCON	688777 CH	NC	73	NA	NA	8,619	194.4	-42%	89	61	488%	46%	1.9	6.4	8.6	6	6	6%	16%
Shuanghuan Driveline	002472 CH	NC	39	NA	NA	4,961	123.9	-18%	24	20	10%	18%	2.3	13.0	13.7	3	3	8%	14%
Zhongda Leader	002896 CH	NC	56	NA	NA	1,658	90.1	-37%	99	83	78%	19%	1.3	8.7	9.7	9	7	25%	25%
Guomao Reducer	603915 CH	NC	13	NA	NA	1,303	10.2	-29%	25	23	43%	10%	0.6	8.2	8.7	3	3	14%	12%
Average									**62**	**43**	**29%**	**31%**	**2.2**	**11.6**	**13.2**	**9.1**	**6.3**	**22%**	**22%**
Asia (ex-China) automation																			
Delta	2308 TT	OW	1605	2500	56%	127,740	683.8	-8%	37	24	86%	53%	0.4	37.4	44.6	5.2	3.7	44%	40%
Hiwin	2049 TT	UW	301	160	-47%	3,257	46.2	-25%	55	47	27%	18%	2.1	5.2	6.0	4.0	3.7	9%	8%
Airtac	1590 TT	OW	1110	1350	22%	6,802	37.6	-8%	23	21	17%	10%	1.3	18.1	18.4	5.7	5.2	16%	9%
Keyence	6861 JP	NC	80910	NA	NA	124,363	309.8	-13%	35	31	27%	11%	1.3	15.5	15.5	17.2	13.7	8%	26%
FANUC	6954 JP	NC	5788	NA	NA	35,931	222.1	-5%	26	24	24%	7%	1.1	10.8	11.4	6.7	5.8	7%	15%
NSK	6471 JP	NC	1013	NA	NA	3,201	16.6	-9%	15	12	44%	21%	0.3	4.9	6.0	0.6	0.5	14%	14%
SMC	6273 JP	NC	65820	NA	NA	26,568	131.7	-21%	19	18	31%	6%	0.6	10.1	10.1	5.0	3.9	6%	29%
Harmonic Drive System	6324 JP	NC	5260	NA	NA	3,202	46.3	-9%	76	53	306%	45%	0.2	7.9	10.5	8.7	6.7	6%	30%
Yaskawa	6506 JP	NC	4277	NA	NA	7,209	139.0	-10%	25	19	28%	28%	0.9	9.1	11.0	2.1	1.9	-1%	12%
THK	6481 JP	NC	5992	NA	NA	4,510	48.2	-6%	15	14	NA	6%	NA	15.6	16.4	2.2	2.0	-11%	9%
MISUMI	9962 JP	NC	3758	NA	NA	6,776	35.9	-34%	21	18	22%	13%	1.0	12.4	13.7	2.4	2.0	0%	19%
Nabtesco	6268 JP	NC	4293	NA	NA	3,203	30.1	-5%	18	17	79%	7%	0.2	9.0	9.1	1.5	1.4	14%	7%
Sumitomo	8316 JP	OW	3148	4110	31%	151,247	505.1	-43%	13	11	17%	17%	0.8	11.2	12.4	5.2	4.4	8%	17%
Average									**29**	**24**	**59%**	**19%**	**0.9**	**12.9**	**14.2**	**5.1**	**4.2**	**11%**	**18%**

Source: Bloomberg Finance L.P., J.P. Morgan estimates for covered names. Priced intraday on 21 October 2026.

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Investment Thesis, Valuation and Risks

Shenzhen Inovance Technology Co. Ltd - A *(Neutral; Price Target: Rmb51.00)*

Investment Thesis
We are Neutral on Shenzhen Inovance. While Inovance remains a high-quality company with a strong record in execution, product innovation and market share gains, we see a more balanced risk/reward following a series of earnings fluctuations, particularly in New Energy. Despite robust FA demand and earlier IA order strength, four consecutive quarters of underperforming earnings delivery and the pause in monthly IA order disclosures have eroded confidence.

Valuation
Our DCF-based Dec-27 PT of Rmb51 is based on terminal growth of 0% and a WACC of 8.8%, calculated based on the following assumptions: cost of equity at 9.3% (based on Rf = 2.5% [aligned with the latest China 10-year bond yield], an equity risk premium of 6.8% and a beta of 1.0x), cost of debt at ~4% and a target debt-to-capital of 10%. Our PT translates into a target PEG of 1.1x against our earnings growth projection of 23% for FY27.

Risks to Rating and Price Target
Downside risks include: (1) worse-than-expected IA segment growth; (2) smaller-than-expected market share gains from Japanese and European/US brands; (3) worse-than-expected GPM due to fiercer pricing competition across IA, elevator and NEV businesses; and (4) fiercer market competition in the NEV PV controller business.

Upside risks include: (1) better-than-expected IA segment growth; (2) faster-than-expected overseas market expansion progress; and (3) better-than-expected new business initiative ramp-up, such as humanoid robot components.

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Shenzhen Inovance Technology Co. Ltd - A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**37,041**	**45,105**	**52,834**	**56,881**	**61,874**
COGS	(26,409)	(32,045)	(37,577)	(39,963)	(42,756)
Gross profit	**10,632**	**13,060**	**15,256**	**16,918**	**19,118**
SG&A	(6,169)	(7,616)	(8,903)	(9,528)	(10,302)
Adj. EBITDA	**5,417**	**6,633**	**7,586**	**8,411**	**9,975**
D&A	(850)	(1,117)	(1,455)	(1,161)	(1,320)
Adj. EBIT	**4,567**	**5,517**	**6,131**	**7,250**	**8,654**
Net Interest	57	59	122	233	394
Adj. PBT	**4,609**	**5,433**	**6,004**	**7,483**	**9,049**
Tax	(262)	(261)	(540)	(748)	(995)
Minority Interest	(61)	(123)	(130)	(160)	(191)
Adj. Net Income	**4,285**	**5,050**	**5,334**	**6,575**	**7,862**
Reported EPS	1.60	1.87	1.97	2.43	2.90
Adj. EPS	**1.60**	**1.87**	**1.97**	**2.43**	**2.90**
DPS	**0.41**	**0.41**	**0.53**	**0.65**	**0.78**
Payout ratio	25.7%	21.9%	26.8%	26.8%	26.8%
Shares outstanding	2,685	2,700	2,707	2,707	2,707

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	3,558	7,033	8,939	11,506	16,461
Accounts receivable	14,219	15,744	18,442	19,855	21,597
Inventories	7,057	8,165	9,266	9,854	10,543
Other current assets	5,616	12,067	12,205	12,278	12,367
Current assets	**30,451**	**43,009**	**48,852**	**53,493**	**60,969**
PP&E	7,041	9,893	10,786	11,223	11,540
LT investments	0	0	0	0	0
Other non current assets	19,687	18,413	19,529	20,244	20,920
Total assets	**57,179**	**71,314**	**79,167**	**84,959**	**93,428**
Short term borrowings	1,281	2,132	3,372	2,000	2,000
Payables	16,998	21,683	24,912	26,493	28,345
Other short term liabilities	5,094	6,079	6,724	7,003	7,328
Current liabilities	**23,374**	**29,894**	**35,009**	**35,496**	**37,673**
Long-term debt	2,874	1,572	200	200	200
Other long term liabilities	2,501	2,713	2,713	2,713	2,713
Total liabilities	**28,750**	**34,180**	**37,922**	**38,409**	**40,587**
Shareholders' equity	27,994	35,353	39,334	44,479	50,579
Minority interests	435	1,782	1,911	2,071	2,262
Total liabilities & equity	**57,179**	**71,314**	**79,167**	**84,959**	**93,428**
BVPS	**10.39**	**13.06**	**14.53**	**16.43**	**18.69**
y/y Growth	*13.6%*	*25.7%*	*11.3%*	*13.1%*	*13.7%*
Net debt/(cash)	597	(3,328)	(5,367)	(9,306)	(14,261)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**7,200**	**6,681**	**6,883**	**7,449**	**8,636**
o/w Depreciation & amortization	850	1,117	1,455	1,161	1,320
o/w Changes in working capital	1,699	(123)	(63)	(214)	(343)
Cash flow from investing activities	**(10,551)**	**(5,536)**	**(3,333)**	**(1,955)**	**(1,824)**
o/w Capital expenditure	(2,112)	(3,024)	(3,613)	(2,313)	(2,313)
as % of sales	*5.7%*	*6.7%*	*6.8%*	*4.1%*	*3.7%*
Cash flow from financing activities	**(1,833)**	**2,892**	**(1,643)**	**(2,927)**	**(1,857)**
o/w Dividends paid	(1,335)	(1,235)	(1,353)	(1,429)	(1,762)
o/w Shares issued/(repurchased)	-	-	-	-	-
o/w Net debt issued/(repaid)	(109)	(574)	(132)	(1,372)	0
Net change in cash	**(5,200)**	**4,047**	**1,907**	**2,567**	**4,955**
Adj. Free cash flow to firm	**5,221**	**3,649**	**3,159**	**4,927**	**5,972**
y/y Growth	*182.0%*	*(30.1%)*	*(13.4%)*	*55.9%*	*21.2%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	28.7%	29.0%	28.9%	29.7%	30.9%
EBITDA margin	14.6%	14.7%	14.4%	14.8%	16.1%
EBIT margin	12.3%	12.2%	11.6%	12.7%	14.0%
Net profit margin	11.6%	11.2%	10.1%	11.6%	12.7%
ROE	16.3%	15.9%	14.3%	15.7%	16.5%
ROA	8.1%	7.9%	7.1%	8.0%	8.8%
ROCE	14.2%	14.8%	13.6%	14.6%	15.5%
SG&A/Sales	16.7%	16.9%	16.9%	16.8%	16.7%
Net debt/Equity	0.0	NM	NM	NM	NM
Net debt/EBITDA	0.1	NM	NM	NM	NM
Sales/Assets (x)	0.7	0.7	0.7	0.7	0.7
Assets/Equity (x)	2.02	2.03	2.01	1.96	1.88
Interest cover (x)	NM	NM	NM	NM	NM
Operating leverage	(8.3%)	95.6%	65.0%	238.2%	220.7%
Tax rate	5.7%	4.8%	9.0%	10.0%	11.0%
Revenue y/y Growth	21.8%	21.8%	17.1%	7.7%	8.8%
EBITDA y/y Growth	2.2%	22.5%	14.4%	10.9%	18.6%
EPS y/y Growth	(10.2%)	17.2%	5.4%	23.3%	19.6%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	31.3	26.7	25.3	20.5	17.2
P/BV (x)	4.8	3.8	3.4	3.0	2.7
EV/EBITDA (x)	25.5	20.8	18.2	16.4	13.9
Dividend Yield	0.8%	0.8%	1.1%	1.3%	1.6%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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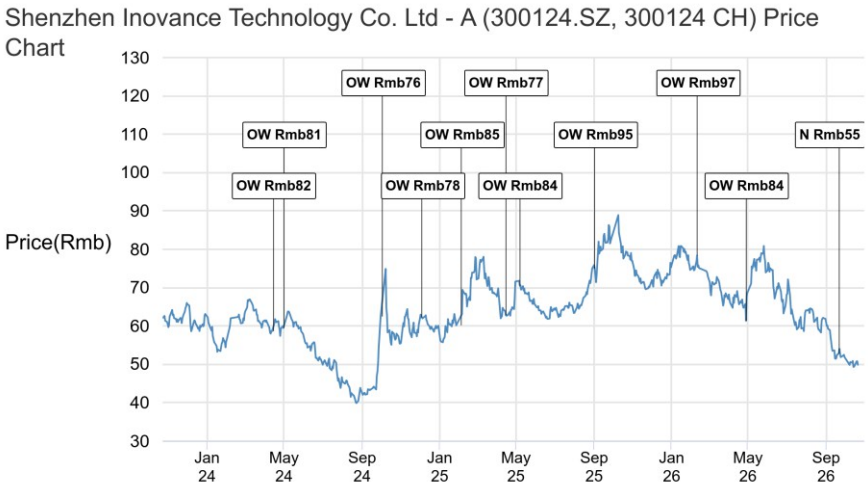
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Date	Rating	Price (Rmb)	Price Target (Rmb)
15-Apr-24	OW	58.63	82
02-May-24	OW	59.50	81
04-Oct-24	OW	62.45	76
05-Dec-24	OW	62.24	78
05-Feb-25	OW	60.19	85
16-Apr-25	OW	62.79	77
08-May-25	OW	70.48	84
03-Sep-25	OW	74.90	95
11-Feb-26	OW	78.37	97
29-Apr-26	OW	61.36	84
22-Sep-26	N	52.84	55

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 18, 2017. All share prices are as of market close on the previous business day.

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